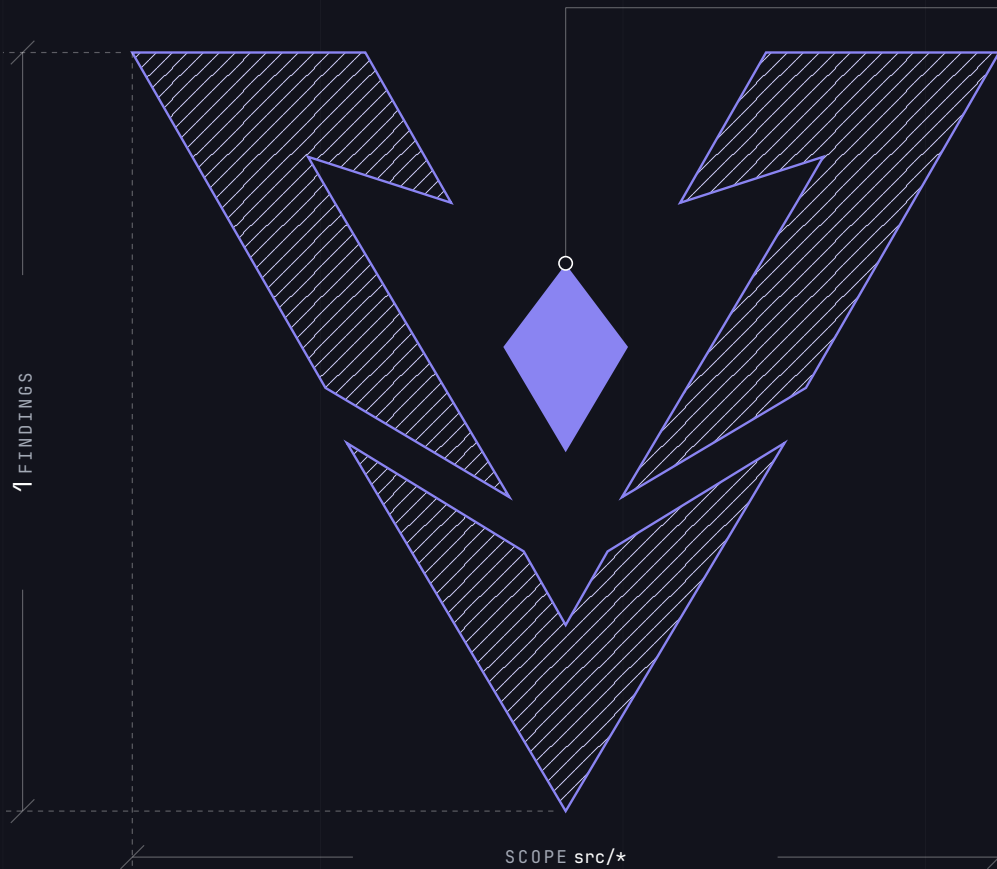


0 CRITICAL / HIGH



SECURITY REVIEW

Flowvest.

May 12th 2026 - May 12th 2026

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SECTION 01

About Valves Security.

Valves Security is an independent smart contract security firm founded by Veselin and Valeri. We work with security researchers specializing in Solidity, Rust and DAML. Every engagement is led by both co-founders with senior security researchers: we review the code line by line, substantiate every reported issue and remain involved through remediation.

To request a security review, visit valvessecurity.com or contact @ValvesSec on X.

SECTION 02

Disclaimer.

This report reflects a time-boxed review of the code at the commit listed in the Executive Summary, limited to the security of the files in scope. A security review cannot guarantee the absence of vulnerabilities, and this report is neither an endorsement of the project, its team or any associated token, nor investment advice. Changes made after the reviewed commit may introduce new issues; we recommend follow-up reviews and an ongoing bug bounty program.

SECTION 03

Risk Classification.

LIKELIHOOD / IMPACT	IMPACT: HIGH	IMPACT: MEDIUM	IMPACT: LOW
High	■ Critical	■ High	■ Medium
Medium	■ High	■ Medium	■ Low
Low	■ Medium	■ Low	■ Low

Impact

- **High** — leads to a significant material loss of assets in the protocol or a group of users.
- **Medium** — leads to a moderate material loss of assets in the protocol, moderately harms a group of users or causes some disruption of the protocol's functionality.
- **Low** — no funds at risk.

Likelihood

- **High** — the attack path is possible with reasonable assumptions. The issue is almost certain to happen.
- **Medium** — only a conditionally incentivized attack vector, but still relatively likely.
- **Low** — has unlikely assumptions or requires a significant stake by the attacker.

SECTION 04

Protocol Summary.

Flowvest is a fixed-term, on-chain monthly payment tool for predictable stablecoin transfers.

SECTION 05

Executive Summary.

OVERVIEW

PROJECT	REVIEW PERIOD
Flowvest	May 12th 2026 - May 12th 2026

SCOPE

ID	FILES IN SCOPE
01	src/*

SECTION 06

Findings.

■ Medium Findings

[M-01] `terminate` couples owner refund to beneficiary transfer success, letting a blacklisted beneficiary permanently lock the owner's principal

MEDIUM

Impact: Medium

Likelihood: Low

Description

In `FlowvestV1.terminate`, within the terminate window [`startAt + 60d`, `startAt + 90d`], the function pushes `amountDue` to `v.beneficiary` at L188 *before* refunding the remaining balance to `v.owner` at L199. Because both transfers occur in the same transaction, a USDC blacklist on the beneficiary atomically reverts the entire `terminate` call, and the owner can never recover their remaining principal.

This is not escapable through other paths: `release` at L150 fails for the same reason, so `amountDue` cannot be drained to 0; and after the strict `< startAt + 3 * PERIOD` check at L176, `terminate` becomes permanently unreachable. The result is a permanent lock of up to `MAX_PRINCIPAL = 3000 USDC` per vest (and up to `TVL_CAP = 20000 USDC` in aggregate), with no admin escape hatch.

Recommendation

Decouple the beneficiary payout from the owner refund so that a failed beneficiary transfer cannot block the owner. Escrow the beneficiary's amount on transfer failure and expose a pull-based claim function.